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Adam Christopher Marshall v. Douglas Elliman of California Inc.

TENTATIVE RULING - Defendants Maxres, Inc. dba Century 21 Allstars and Patricia Ramirez's Demurrer and Motion to Strike

The demurrer is OVERRULED in part and SUSTAINED with leave to amend in part. The Motion to Strike is DENIED in part and GRANTED with leave to amend in part.

The demurrer to the first and second causes of action is OVERRULED. The demurrer to the ninth cause of action is SUSTAINED with leave to amend.

Plaintiffs shall file their Amended Complaint within 20 days.

The Case Management Conference is Continued to February 24, 2027 at 8:30 a.m.

Introduction

On February 18, 2025, Plaintiffs Adam Christopher Marshall and Thomas Alton Reed filed a Complaint in this action arising from their 2023 purchase of a single-family residence located at 5700 Aldama, Los Angeles, California (the "Aldama Home"), and the alleged failure of the brokers and agents involved in the transaction to disclose cracked walls and a crumbling foundation.

On October 9, 2025, Plaintiffs filed a First Amended Complaint ("FAC") asserting ten causes of action.

On November 17, 2025, Defendants filed the instant Demurrer and Motion to Strike to Plaintiffs' First Amended Complaint. Defendants demur to the First, Second, and Ninth causes of action only, and move to strike the punitive damages allegations at paragraphs 32, 43, and 97 and the corresponding portion of the prayer at page 19, line 1.

On September 9, 2026, Plaintiffs filed oppositions to the Demurrer and to the Motion to Strike.

On September 14, 2026 Defendants filed a reply.

Meet and Confer

Before filing a demurrer or a motion to strike, the demurring or moving party is required to meet and confer with the party who filed the pleading demurred to or the pleading that is subject to the motion to strike for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (CCP §§ 430.41)

The Declaration of Nicole S. Kohanof, executed on November 17, 2025, states that counsel sent written meet and confer correspondence on November 6, 2025 setting forth the grounds for the contemplated demurrer and motion to strike, and that counsel conducted a telephonic meet and confer with Plaintiffs' counsel Paul S. Sienski on November 12, 2025, after which the parties were unable to reach agreement. The Court finds the meet and confer requirement satisfied.

Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Wilson v. Transit Authority of City of Sacramento (1962) 199 Cal.App.2d 716, 720-21.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests the pleading alone, and not on the evidence or facts alleged." (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations. (Id.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn, supra, 147 Cal.App.4th at 747.)

First Cause of Action: Fraudulent Concealment

Defendants demur to the first cause of action on the grounds that Plaintiffs fail to plead concealment with the specificity required of fraud claims, and fail to allege facts showing Defendants' actual knowledge of the alleged defects, deliberate suppression, or reliance and causation.

The elements of fraudulent concealment are: (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) the plaintiff sustained damage as a result of the concealment or suppression. (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 40-41.)

While fraud must generally be pled with particularity, the specificity requirement is relaxed in concealment cases. "[I]t is harder to apply [the specificity] requirement to a case of simple nondisclosure. 'How does one show "how" and "by what means" something didn't happen, or "when" it never happened, or "where"?' (Alfaro v. Community Housing Improvement System & Planning Assn., Inc. (2009) 171 Cal.App.4th 1356, 1384; accord Jones v. ConocoPhillips Co. (2011) 198 Cal.App.4th 1187, 1199-1200.) Less particularity is also required where the facts lie more in the knowledge of the defendant. (Committee on Children's Television, Inc. v. General Foods Corp. (1983) 35 Cal.3d 197, 217.)

Defendants' reliance on Stansfield v. Starkey (1990) 220 Cal.App.3d 59, 73, Lazar v. Superior Court (1996) 12 Cal.4th 631, 645, and Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 157 is misplaced as to this cause of action. Those authorities address affirmative misrepresentations and false promises, and the "how, when, where, to whom, and by what means" formulation is directed at representations that were tendered, not at facts that were withheld.

In any event, the FAC identifies the actor (Ramirez, for whom Maxres was the responsible broker), the document (the Transfer Disclosure Statement), the date (April 27, 2023), the mechanism (Section III left blank with the box checked for an attached Agent Visual Inspection Disclosure, and no AVID ever delivered), the recipient (Douglas Elliman, for transmittal to

Plaintiffs), and the categories of concealed facts (existing cracks in the walls; a crumbling and failing foundation; and a defective and incomplete TDS lacking the listing broker's AVID). (FAC ¶¶ 18, 24-25.)

Defendants' argument that no facts show knowledge fails on the face of the pleading. Paragraph 16 alleges that at or about the time the seller and Century 21 Allstars entered into the listing agreement, the walls bore cracks indicative of foundation problems, the foundation was crumbling, and "[t]he owner/seller and Century 21 Allstars took steps to hide the cracks and the crumbling foundation." (FAC ¶ 16.) That is a direct allegation of both knowledge and active concealment, which the Court must accept as true. Whether Plaintiffs can prove it is not before the Court on demurrer. (Stevens v. Superior Court (1986) 180 Cal.App.3d 605, 609-610.)

The duty element is adequately pleaded. A seller's agent owes a prospective buyer a duty to conduct a reasonably competent and diligent visual inspection of reasonably and normally accessible areas and to disclose to the buyer all facts materially affecting the value or desirability of the property that the inspection reveals. (Civ. Code § 2079, subd. (a); see also Civ. Code §§ 1102 et seq.) The FAC alleges Defendants owed that duty and breached it by failing to prepare or deliver an AVID while representing on the TDS that one was attached. (FAC ¶¶ 24, 27.)

Intent and reliance are sufficiently alleged. The FAC pleads intent to deceive, a motive (closing escrow to obtain a commission), Plaintiffs' ignorance of the concealed facts, and that Plaintiffs would have terminated the purchase agreement had the facts been disclosed. (FAC ¶¶ 26-32.) Defendants' argument that the buyers' broker and the independent inspector broke the chain of causation raises factual disputes not resolvable on demurrer.

The demurrer to the first cause of action is OVERRULED.

Second Cause of Action: Fraud – Intentional Misrepresentation

Defendants demur to the second cause of action on the grounds that a checked box on a statutory form cannot constitute an affirmative representation about the condition of the property, and that scienter, intent, and reliance are pleaded only in conclusion.

The elements of fraud are: "(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." (Charnay v. Cobert (2006) 145 Cal.App.4th 170, 184.)

In California, fraud must be pled with specificity. (Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 184.) "The particularity demands that a plaintiff plead facts which show how, when, where, to whom, and by what means the representations were tendered." (Cansino v. Bank of America (2014) 224 Cal.App.4th 1462, 1469.)

Further, intentional misrepresentation requires the defendant to represent a material fact as true when it is actually false and the defendant knew the representation was false when the defendant made it, or the defendant made the representation recklessly and without regard for its truth. (See Manderville v. PCG & S Group, Inc. (2007) 146 Cal.App.4th 1486, 1498.)

As to a corporate defendant, a plaintiff must allege the name of the person who made the representation, that person's authority to speak, to whom the person spoke, what was said or written, and when. (Tarmann, supra, 2 Cal.App.4th at 157.)

Defendants' strongest argument is that a blank Section III with a checked AVID box is not an affirmative representation that the home had no wall cracks and a sound foundation. The Court agrees that paragraphs 35(A) and 35(B) of the FAC sit uneasily with paragraph 18, which alleges that Century 21 Allstars "did not make any disclosures in Section III of a TDS." A form on which nothing is stated is an unlikely vehicle for an affirmative statement of fact about condition.

That does not dispose of the cause of action. Paragraph 35(C) alleges a distinct and affirmative representation: that the TDS Ramirez signed on April 27, 2023 represented that a TDS provided to Plaintiffs was proper, legal, and included an AVID prepared by Maxres and Ramirez. The FAC alleges no AVID was ever prepared or delivered to Douglas Elliman or to Plaintiffs. (FAC ¶¶ 18, 24, 36(C).) That allegation identifies the speaker (Ramirez), her authority (listing agent for the responsible broker Maxres), the writing (the TDS), the date (April 27, 2023), the content (that the AVID was attached), and the recipient (Douglas Elliman, for delivery to Plaintiffs). Tarmann is satisfied as to both Defendants.

Materiality is adequately pleaded. The FAC alleges the AVID is the operative broker disclosure, that its absence was itself a red flag and a ground for termination of the purchase agreement, and that checking the box created the false impression that there was nothing to disclose while starting the cancellation period running. (FAC ¶¶ 10-11, 18, 37.) Scienter is alleged: Defendants "knew they were not delivering their AVID to DEC or the BUYERS." (FAC ¶ 37.) Reliance and damages are alleged at paragraphs 38 through 42.

Because at least one theory within the count is sufficiently pleaded, the demurrer must be overruled as to the entire cause of action. (PH II, Inc., supra, 33 Cal.App.4th at 1682.)

The demurrer to the second cause of action is **OVERRULED**.

Ninth Cause of Action: Intentional Infliction of Emotional Distress

Defendants demur to the ninth cause of action on the grounds that the conduct alleged is not outrageous as a matter of law, that severe emotional distress is pleaded only in conclusion, and that emotional distress damages arising from economic loss in a real property transaction are barred. Defendants also demur on the ground of uncertainty. (CCP § 430.10(f).)

The elements of an intentional infliction of emotional distress cause of action are: (1) extreme and outrageous conduct by the defendant; (2) intention to cause or reckless disregard of the probability of causing emotional distress; (3) severe emotional suffering; and (4) actual and proximate causation of the emotional distress. (See *Moncada v. West Coast Quartz Corp.* (2013) 221 Cal.App.4th 768, 780; *Wilson v. Hynek* (2012) 207 Cal.App.4th 999, 1009.)

To satisfy the element of extreme and outrageous conduct, defendant's conduct "must be so extreme as to exceed all bounds of that usually tolerated in a civilized society." (*Moncada*, supra, 221 Cal.App.4th at 780 (quoting *Trerice v. Blue Cross of California* (1989) 209 Cal.App.3d 878, 883).)

"[I]t is not enough that the defendant has acted with an intent which is tortious or even criminal, or that he has intended to inflict emotional distress, or even that his conduct has been characterized by 'malice,' or a degree of aggravation which would entitle the plaintiff to punitive damages for another tort." (*Cochran v. Cochran* (1998) 65 Cal.App.4th 488, 496.)

"Liability has been found only where the conduct has been so outrageous in character, and so extreme in degree, as to go beyond all possible bounds of decency, and to be regarded as atrocious, and utterly intolerable in a civilized community." (*Id.*) While there is no bright-line as to what constitutes outrageous conduct and thus this involves a case-by-case analysis, courts can determine whether conduct was sufficiently outrageous at the demurrer stage. (*Id.* at 494.)

The conduct alleged against these Defendants is the failure to prepare and deliver an AVID, checking a box on a statutory disclosure form, disregarding an internal closing checklist, and permitting escrow to close. (FAC ¶ 92.) Taken as true, those allegations describe a serious breach of statutory disclosure duties — which is why the first and second causes of action survive — but they do not describe conduct directed at Plaintiffs personally that goes beyond all possible bounds of decency. Disclosure and paperwork omissions in an arm's-length residential transaction, standing alone, do not meet the outrageousness standard as a matter of law.

The severity element is likewise pleaded in bare conclusion. Paragraph 94 states only that "[t]he Plaintiffs suffered severe emotional distress," with no facts as to the nature, duration, or manifestation of that distress. That is insufficient. (Hughes, supra, 46 Cal.4th at 1051.)

The demurrer to the ninth cause of action is SUSTAINED, with leave to amend.

Motion to Strike

Defendants move to strike Plaintiffs' prayer for punitive damages and related allegations from the FAC — specifically paragraphs 32, 43, and 97, and the prayer at page 19, line 1 — on the grounds the FAC fails to state facts sufficient to support the recovery of punitive damages.

Civil Code Section 3294(a) authorizes the recovery of punitive damages in non-contract cases "where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice...

(1) "Malice" means conduct which is intended by the defendant to cause

injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.

(2) "Oppression" means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights.

(3) "Fraud" means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.

(Civ. Code § 3294(c)(1)-(3).)

The Court has overruled the demurrer to the first and second causes of action, finding Plaintiffs have adequately alleged fraudulent concealment and intentional misrepresentation premised on conduct including concealing known cracks and a crumbling foundation, and signing a Transfer Disclosure Statement representing that an Agent Visual Inspection Disclosure was attached when none was prepared or delivered. (FAC ¶¶ 16, 24-27, 35-37.) These allegations, taken as true at the pleading stage, describe intentional and dishonest conduct directed at depriving Plaintiffs of property and of their contractual right to terminate the purchase agreement, undertaken so that escrow would close and a commission would be paid. Such conduct, if proven, would support a finding of malice, oppression, or fraud as defined by Civil Code section 3294(c) as against Ramirez. The motion to strike paragraphs 32 and 43 as to Ramirez is DENIED.

As to Maxres, Inc., however, the FAC alleges only that "MAXRES violated its own custom and practice since the Closing Check List revealed Century 21's AVID had not been provided to the plaintiffs" and that "MAXRES ratified Ramirez[s] violations so that escrow would close." (FAC ¶¶ 32, 43.) No officer, director, or managing agent is identified by name or role, and no facts are alleged showing that any such person reviewed the Closing Check List, learned the AVID was missing, or approved the close of escrow with knowledge of the omission. The allegation regarding the checklist is itself pleaded on information and belief as an industry custom the corporation is alleged to have adopted. (FAC ¶ 11.) That does not satisfy Civil Code section 3294(b). The motion to strike paragraphs 32 and 43 as to Maxres, Inc. is GRANTED, with leave to amend.

Further, the Court has sustained the demurrer to the ninth cause of action with leave to amend. Because the Court has allowed Plaintiffs leave to amend to address the pleading deficiencies in that cause of action, and punitive damages may be awarded upon a properly pled IIED claim, the ruling as to paragraph 97 is without prejudice — Plaintiffs may plead punitive

damages upon amendment of the ninth cause of action.

Defendants' Motion to Strike Punitive Damages from Plaintiffs' FAC is DENIED as to Patricia Ramirez, and GRANTED as to Maxres, Inc. and as to paragraph 97, with leave to amend.

Conclusion

The demurrer is OVERRULED in part and SUSTAINED with leave to amend in part. The Motion to Strike is DENIED in part and GRANTED with leave to amend in part.

The demurrer to the first and second causes of action is OVERRULED. The demurrer to the ninth cause of action is SUSTAINED with leave to amend.

Plaintiffs shall file their Amended Complaint within 20 days.

The Case Management Conference is Continued to February 24, 2027 at 8:30 a.m.

Moving party to give notice.

TENTATIVE RULING - Defendants Nicole Reber and Douglas Elliman of California, Inc's Demurrer to First Amended Complaint; Motion to Strike

The demurrer is OVERRULED in part and SUSTAINED with leave to amend in part. The Motion to Strike is DENIED in part and GRANTED with leave to amend in part.

The demurrer to the fourth, fifth, sixth, and seventh causes of action is OVERRULED. The demurrer to the ninth and tenth causes of action is SUSTAINED with leave to amend.

The Motion to Strike is DENIED as to Nicole Reber and GRANTED with leave to amend as to Douglas Elliman of California, Inc., and is DENIED in all other respects.

Plaintiffs shall file their Amended Complaint within 20 days.

The Case Management Conference is Continued to February 24, 2027 at 8:30 a.m.

Introduction

On February 18, 2025, Plaintiffs Adam Christopher Marshall and Thomas Alton Reed filed a Complaint in this action arising from their 2023 purchase of a single-family residence located at 5700 Aldama, Los Angeles, California (the "Aldama Home"), and the alleged failure of the brokers and agents involved in the transaction to disclose cracked walls and a crumbling foundation.

On October 9, 2025, Plaintiffs filed a First Amended Complaint ("FAC") asserting ten causes of action. The FAC asserts the following causes of action against these Defendants: the Fourth (Breach of Fiduciary Duty), Fifth (Constructive Fraud), Sixth

(Negligence — Real Estate), Seventh (Negligence — Failure to Supervise, as to Elliman only), Ninth (Intentional Infliction of Emotional Distress), and Tenth (Violation of Business and Professions Code section 17200).

On December 23, 2025, Defendants Elliman and Reber filed the instant Demurrer and Motion to Strike to Plaintiffs' First Amended Complaint.

On September 8, 2026, Plaintiff filed Oppositions.

Meet and Confer

Before filing a demurrer or a motion to strike, the demurring or moving party is required to meet and confer with the party who filed the pleading demurred to or the pleading that is subject to the motion to strike for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (CCP §§ 430.41)

The Declaration of Ari L. Markow, executed on December 23, 2025, states that counsel sent written meet and confer correspondence on October 17, 2025 setting out the legal bases for the anticipated demurrer and motion to strike, and that on December 19, 2025 counsel for the parties conferred telephonically regarding those issues without resolution. The Court finds the meet and confer requirement satisfied.

Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Wilson v. Transit Authority of City of Sacramento (1962) 199 Cal.App.2d 716, 720-21.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests the pleading alone, and not on the evidence or facts alleged." (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations. (Id.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn, supra, 147 Cal.App.4th at 747.)

Fourth Cause of Action: Breach of Fiduciary Duty

Defendants demur to the fourth cause of action on the grounds that the claim is derivative of Plaintiffs' fraud causes of action, that breach and causation are pleaded only as conclusions, and that the claim seeks to impose duties broader than those recognized by Civil Code sections 2079 and 2079.3.

"The elements of a cause of action for breach of fiduciary duty are: (1) existence of a fiduciary duty; (2) breach of the fiduciary duty; and (3) damage proximately caused by the breach. [Citation.]" (Tribeca Companies, LLC v. First American Title Insurance Company (2015) 239 Cal.App.4th 1088, 1114; accord Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 820.)

An agent acting for a buyer of residential real property owes that buyer "[a] fiduciary duty of utmost care, integrity, honesty, and loyalty." (Civ. Code § 2079.16.) The fiduciary duty a broker owes its own client is distinct from, and may exceed, the visual inspection duty codified in Civil Code section 2079, which defines the duty owed to non-clients. "[D]epending on the circumstances, a broker's fiduciary duty may be much broader than the duty to visually inspect and may include a duty to inspect public records or permits concerning title or use of the property, a duty which is expressly excluded from section 2079." (Field v. Century 21 Klowden-Forness Realty (1998) 63 Cal.App.4th 18, 25-26.)

Defendants argue the claim repeats the omissions pleaded at FAC ¶¶ 63-66 as the basis for the fifth cause of action. But the authorities cited address a plaintiff who pleads fraud and then relabels it; no fraud cause of action is pleaded against these Defendants. The first through third causes of action run only against MAXRES, Ramirez and Does. The fifth cause of action is constructive fraud, which exists only because of the fiduciary relationship and so depends on this claim rather than displacing it. In any event, overlap is not a ground for demurrer: the two torts carry different elements and different remedies, and alternative theories may be pleaded.

Duty is adequately alleged. Plaintiffs allege that in or about 2023 they hired Elliman and Reber as their real estate broker and agent to assist and advise in the search for a home and to advise, draft, prepare and receive documents and disclosures related to the purchase. (FAC ¶ 15.) That paragraph is incorporated into the fourth cause of action. (FAC ¶ 54.)

Breach and causation are adequately alleged. Paragraphs 56 and 57 identify specific omissions: failing to disclose that Century 21 Allstars did not deliver a completed AVID or TDS; failing to disclose that the seller's TDS was incomplete; failing to disclose that these failures were a red flag; failing to disclose that Plaintiffs were entitled to a complete TDS and AVIDs; failing to disclose that Plaintiffs could terminate the purchase agreement; and failing to advocate for Plaintiffs by demanding delivery of a complete package. These are identified acts and omissions, not bare recitals. Causation is supplied by the incorporated allegations that, acting on the incomplete disclosures, Plaintiffs conducted their due diligence, released the physical contingency, and allowed escrow to close. (FAC ¶¶ 19-22, 58-59.)

The demurrer to the fourth cause of action is **OVERRULED**.

Fifth Cause of Action: Constructive Fraud

Defendants demur to the fifth cause of action on the grounds that it is a re-labeling of the fourth cause of action, that it is not pleaded with particularity, and that it rests on duties beyond the statutory visual-inspection standard.

Constructive fraud consists of "any act, omission or concealment involving a breach of legal or equitable duty, trust or confidence which results in damage to another even though the conduct is not otherwise fraudulent." (Civ. Code § 1573; *Salahutdin v. Valley of California, Inc.* (1994) 24 Cal.App.4th 555, 562.) "Most acts by an agent in breach of his fiduciary duties constitute constructive fraud. The failure of the fiduciary to disclose a material fact to his principal which might affect the fiduciary's motives or the principal's decision, which is known (or should be known) to the fiduciary, may constitute constructive fraud." (Id.) No intent to deceive is required, and "a breach of a fiduciary duty usually constitutes constructive fraud." (Id. at p. 563.)

As to particularity, the specificity requirement "is intended to apply only to affirmative representations and not to fraud by concealment," and "[l]ess specificity should be required of fraud claims 'when it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy,' [or when] 'the facts lie more in the knowledge of the opposite party.'" (*Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal.App.4th 1356, 1384.)

Here, the FAC identifies the actors (Reber, with Elliman alleged to be her responsible broker), the material facts allegedly withheld (the missing listing-side AVID, the incomplete seller TDS, the right to a complete package, the right to terminate, and existing cracks in the walls), the timing (offer submitted April 17, 2023; Reber's AVID signed on or about May 1, 2023; TDS delivered to Plaintiffs on or about May 4, 2023; close of escrow thereafter), and the means (transmitting an incomplete disclosure package without comment). (FAC ¶¶ 18, 62-65.) That is sufficient under section 1573 and *Alfaro*.

Defendants' argument that Plaintiffs do not allege the conditions were visible at the time of inspection identifies a tension in the pleading — paragraph 16 alleges the seller and listing side "took steps to hide the cracks," while paragraph 64 alleges Defendants' inspection "was not thorough or complete" and failed to disclose "current cracks in the walls." Read liberally and in context, paragraph 64 alleges observable conditions that a competent inspection would have revealed. The tension is a

matter for later stages and does not render the pleading fatally inconsistent.

Finally, the fifth cause of action is not duplicative of the fourth in a manner warranting demurrer. Constructive fraud and breach of fiduciary duty are separate causes of action carrying different remedies, including the availability of exemplary damages.

The demurrer to the fifth cause of action is **OVERRULED**.

Sixth Cause of Action: Negligence — Real Estate

Defendants demur to the sixth cause of action on the grounds that it pleads only conclusions, engages in impermissible group pleading, and rests on an impermissibly expanded duty.

The elements of a negligence claim are duty, breach, causation, and damages. (*Berkley v. Dowds* (2007) 152 Cal.App.4th 518, 526.) In California, negligence may be pleaded in general terms. (*Id.* at pp. 526-527.) Civil Code section 1714(a) embodies the general duty to use ordinary care, and Civil Code sections 1102 et seq. and 2079 et seq. impose disclosure duties on real estate brokers and agents.

Paragraphs 71 through 75 allege duty, breach (providing misleading or inaccurate information, omitting information from an incomplete TDS and AVID, and failing to provide a TDS and/or AVID), causation, and damages. Under *Berkley*, that general pleading suffices.

Defendants' group-pleading objection does not survive the incorporation clause. Paragraph 70 incorporates paragraphs 1 through 69, which contain the defendant-specific allegations Defendants contend are absent — including what Reber received, what she prepared, what she transmitted, and what she failed to say. (FAC ¶¶ 18, 56-57, 64-65.) A pleading is read as a whole, and each part is given the meaning it derives from the context in which it appears.

For the reasons stated as to the fourth cause of action, the argument that the claim rests on a duty broader than section 2079 does not warrant a demurrer at this stage.

The demurrer to the sixth cause of action is **OVERRULED**.

Seventh Cause of Action: Negligence — Failure to Supervise

Defendant Elliman demurs to the seventh cause of action on the grounds that it is foreclosed by *Sandler v. Sanchez* (2012) 206 Cal.App.4th 1431, that Plaintiffs plead none of the elements of common-law negligent supervision, and that the claim is derivative of the underlying nondisclosure theory.

Sandler does not reach this claim. There, the Court of Appeal addressed whether "a designated officer's failure to supervise a corporate employee, without more, [may] subject the officer to direct personal liability to third parties." (*Sandler*, supra, 206 Cal.App.4th at p. 1434.) The court held that the supervisory duty codified in Business and Professions Code section 10159.2 "is owed to the corporation, not to third parties," and affirmed dismissal of the claim against Sanchez, the individual designated broker. (*Id.* at pp. 1434, 1444-1445.)

The seventh cause of action is not pleaded against an individual designated officer. It is pleaded against Elliman, the corporate broker, which Plaintiffs allege was Reber's responsible broker and Plaintiffs' own fiduciary. (FAC ¶¶ 15, 80.) *Sandler* did not hold that a corporate broker is immune from claims brought by its own clients.

Defendants' alternative argument relies on *Doe v. Capital Cities* (1996) 50 Cal.App.4th 1038, 1054 and *Phillips v. TLC Plumbing, Inc.* (2009) 172 Cal.App.4th 1133, 1139-1140, for the proposition that Plaintiffs must plead notice of an employee's unfitness. Those authorities address negligent hiring and retention premised on an employee's dangerous propensities. The seventh cause of action pleads something different: that Elliman owed a duty to its own principals to monitor the transaction and its agent's file and to ensure that a complete TDS/AVID package was received from the listing broker and delivered to Plaintiffs, and that a competent review of the file as escrow progressed would have revealed the missing AVID. (FAC ¶¶ 78-82.) Whether that duty exists and was breached is not resolved by the negligent-hiring line of cases.

The Court does not rely on Plaintiffs' citation to "Business and Professions Code section 10010.5," which does not appear to be the provision intended.

The demurrer to the seventh cause of action is OVERRULED.

Ninth Cause of Action: Intentional Infliction of Emotional Distress

Defendants demur to the ninth cause of action on the grounds that emotional distress damages are unavailable in a real property disclosure dispute and that Plaintiffs plead no facts showing outrageous conduct or severe distress.

The elements of an intentional infliction of emotional distress cause of action are: (1) extreme and outrageous conduct by the defendant; (2) intention to cause or reckless disregard of the probability of causing emotional distress; (3) severe emotional suffering; and (4) actual and proximate causation of the emotional distress. (*Hughes v. Pair* (2009) 46 Cal.4th 1035, 1050-1051; *Moncada v. West Coast Quartz Corp.* (2013) 221 Cal.App.4th 768, 780.)

To satisfy the element of extreme and outrageous conduct, defendant's conduct "must be so extreme as to exceed all bounds of that usually tolerated in a civilized society." (*Moncada*, supra, 221 Cal.App.4th at 780.) "[I]t is not enough that the defendant has acted with an intent which is tortious or even criminal, or that he has intended to inflict emotional distress, or even that his conduct has been characterized by 'malice,' or a degree of aggravation which would entitle the plaintiff to punitive damages for another tort." (*Cochran v. Cochran* (1998) 65 Cal.App.4th 488, 496.) While there is no bright line as to what constitutes outrageous conduct, courts can determine whether conduct was sufficiently outrageous at the demurrer stage. (*Id.* at 494.)

Plaintiffs allege that Defendants engaged in extreme and outrageous conduct by:

breaching the statutory disclosure standards and their own compliance custom and practice, including the Closing Check List; providing incomplete or missing versions of the TDS/AVID; failing to disclose the missing AVID; and allowing escrow to close notwithstanding Century 21 Allstars' missing AVID. (FAC ¶ 92.) Plaintiffs further allege that Defendants had been repeatedly trained on the requirements of Civil Code sections 1102 et seq. and 2079 et seq., knew the listing broker's failure to provide a TDS/AVID was a red flag, knew that failure was grounds for termination of the purchase agreement, and disregarded that knowledge and training so that escrow would close and commissions would be paid. (FAC ¶ 97.)

The conduct alleged against these Defendants is thus the failure to obtain and transmit a completed AVID, the transmittal of an incomplete statutory disclosure form without comment, the disregard of an internal closing checklist, and permitting escrow to close. Taken as true, those allegations describe a serious breach of statutory and fiduciary disclosure duties — which is why the fourth and fifth causes of action survive — but they do not describe conduct directed at Plaintiffs personally that goes beyond all possible bounds of decency. Disclosure and paperwork omissions in an arm's-length residential transaction, standing alone, do not meet the outrageousness standard as a matter of law.

Plaintiffs' reliance on *Godfrey v. Steinpress* (1982) 128 Cal.App.3d 154 does not compel a different result at the pleading stage. *Godfrey* affirmed a jury verdict where the record established that the broker obtained a second termite report

disclosing significantly greater damage and made a conscious decision to withhold that report from the buyers. (Id. at pp. 173-174.) The FAC pleads no comparable deliberate suppression by these Defendants. It alleges instead that Reber had been trained to recognize the missing AVID as a red flag and "disregarded" that training. (FAC ¶ 97.) A failure to appreciate or act on a red flag is not the equivalent of knowingly concealing a document in hand. The Court notes that Defendants' broader contention — that emotional distress damages are categorically unavailable in any real property disclosure dispute — is overstated; Godfrey forecloses that framing. The demurrer is sustained on the pleading.

The severity element is likewise pleaded in bare conclusion. Paragraph 94 states only that "[t]he Plaintiffs suffered severe emotional distress," with no facts as to the nature, duration, or manifestation of that distress. That is insufficient. (Hughes, supra, 46 Cal.4th at 1051.)

The intent element is pleaded in the disjunctive and in conclusion as well. Paragraph 93 alleges that Defendants "intended to cause the Plaintiff emotional distress, and/or acted with reckless disregard of the probability that the Plaintiffs would suffer emotional distress," without facts distinguishing that state of mind from the negligence and self-interest alleged elsewhere in the FAC.

As pled, these allegations do not rise to the level of conduct "so extreme as to exceed all bounds of that usually tolerated in a civilized society." (Moncada, supra, 221 Cal.App.4th at 780.)

The demurrer to the ninth cause of action is SUSTAINED, with leave to amend.

Tenth Cause of Action: Violation of Business and Professions Code Section 17200

Defendants demur to the tenth cause of action on the grounds that Plaintiffs plead no identifiable predicate act, improperly rely on vicarious liability as to Elliman, and seek relief unavailable under the UCL.

The UCL prohibits any "unlawful, unfair or fraudulent business act or practice." (Bus. & Prof. Code § 17200.) A UCL claim must "state with reasonable particularity the facts supporting the statutory elements of the violation." (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 619.) An "unlawful" business practice claim must identify the underlying law violated. (Prakashpalan v. Engstrom, Lipscomb & Lack (2014) 226 Cal.App.4th 1105, 1133.)

Paragraph 100 alleges that "[t]he defendants, and each of them, were real estate brokers and real estate sales persons, who were required, inter alia, under Civil Code sections 1102, et seq. and 2079, et seq., to make written disclosures to the Plaintiffs of all facts materially affecting the value or desirability of the property that an investigation would reveal and delivering a complete TDS and/or AVIDS to the plaintiffs. The defendants, and each of them, failed to comply with these laws."

That allegation is a blanket reference to two entire statutory schemes. It does not identify which provision either Defendant is alleged to have violated, and it does not distinguish the conduct of the Buyers' Brokers from that of the listing side. The deficiency is sharpened by the FAC's own allegations elsewhere that these Defendants did complete an AVID and did deliver a TDS to Plaintiffs. (FAC ¶ 18.) Incorporation by reference does not cure the defect, because the incorporated paragraphs likewise fail to identify the statutory duty allegedly breached by these Defendants or the UCL prong invoked.

For guidance on amendment, the Court notes that remedies available to a private plaintiff under the UCL are limited to restitution and injunctive relief; damages and nonrestitutionary disgorgement are not available. (Korea Supply Co. v. Lockheed Martin Corp. (2003) 29 Cal.4th 1134, 1144-1152.)

The demurrer to the tenth cause of action is SUSTAINED, with leave to amend.

Motion to Strike

Defendants move to strike: (1) allegations and prayers seeking punitive damages; (2) the prayer for prejudgment interest at the maximum rate; (3) any request for attorney's fees; and (4) as to the tenth cause of action only, any request for non-restitutionary disgorgement of profits or a constructive trust.

Punitive Damages

Civil Code Section 3294(a) authorizes the recovery of punitive damages in non-contract cases "where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice...

(1) "Malice" means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others. (2) "Oppression" means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights. (3) "Fraud" means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury. (Civ. Code § 3294(c)(1)-(3).)

In ruling on a motion to strike punitive damages, the challenged allegations are read "as a whole, all parts in their context and assuming the truth of all well-pleaded allegations." (Clauson v. Superior Court (1998) 67 Cal.App.4th 1253, 1255.) Courts do not read allegations in isolation. (Id.)

The Court has overruled the demurrer to the fourth and fifth causes of action, finding Plaintiffs have adequately alleged breach of fiduciary duty and constructive fraud premised on conduct including the failure to disclose that the listing broker never delivered a completed AVID or TDS, the failure to disclose that the omission was a red flag, and the failure to advise Plaintiffs of their right to demand a complete disclosure package and to terminate the purchase agreement. (FAC ¶¶ 18, 56-57, 64-65, 69.) Plaintiffs further allege that Reber was a licensed salesperson repeatedly trained on the requirements of Civil Code sections 1102 et seq. and 2079 et seq., that she knew the listing broker had a legal duty to report its inspection findings in a TDS or AVID, that she knew the absence of that document was grounds for termination, and that she disregarded that knowledge so that escrow would close and a commission would be paid. (FAC ¶ 69.) These allegations, taken as true at the pleading stage, describe concealment of a material fact known to the defendant undertaken with the intention of depriving Plaintiffs of property and of their contractual right to terminate. Such conduct, if proven, would support a finding of malice, oppression, or fraud as defined by Civil Code section 3294(c) as against Reber. The motion to strike paragraph 69 as to Reber is DENIED.

As to Douglas Elliman of California, Inc., however, the FAC alleges only that "Elliman violated its own custom and practice since the Closing Check List revealed Century 21's AVID had not been provided to the plaintiffs" and that "Elliman ratified Century 21 and Reber's violations so that escrow would close and Elliman and Reber and Ramirez would receive their commissions." (FAC ¶ 69.) With respect to a corporate employer, the advance knowledge, authorization, ratification, or act of oppression, fraud, or malice "must be on the part of an officer, director, or managing agent of the corporation." (Civ. Code § 3294(b).) A managing agent is an employee who exercises substantial discretionary authority over decisions that ultimately determine corporate policy. (White v. Ultramar, Inc. (1999) 21 Cal.4th 563, 566-567, 576-577.) Ratification requires actual knowledge of the conduct and its outrageous character. (College Hospital Inc. v. Superior Court (1994) 8 Cal.4th 704, 726.) No officer, director, or managing agent of Elliman is identified by name or role, and no facts are alleged showing that any such person reviewed the Closing Check List, learned the AVID was missing, or approved the close of escrow with knowledge of the omission. The allegation regarding the checklist is itself pleaded on information and belief as an industry custom the corporation is alleged to have adopted. (FAC ¶ 11.) That does not satisfy Civil Code section 3294(b). The motion to strike paragraph 69 as to Douglas Elliman of California, Inc. is GRANTED, with leave to amend.

Further, the Court has sustained the demurrer to the ninth cause of action with leave to amend. Because the Court has allowed Plaintiffs leave to amend to address the pleading deficiencies in that cause of action, and punitive damages may be

awarded upon a properly pled IIED claim, the ruling is without prejudice — Plaintiffs may plead punitive damages upon amendment of the ninth cause of action, subject as to Elliman to the requirements of Civil Code section 3294(b) discussed above.

The prayer for punitive damages (FAC Prayer ¶ 3, p. 19, line 1) is not stricken, as it remains supported as to Reber.

Prejudgment Interest

Civil Code section 3288 provides: "In an action for the breach of an obligation not arising from contract, and in every case of oppression, fraud, or malice, interest may be given, in the discretion of the jury." Defendants rely on *Great Western Drywall, Inc. v. Roel Construction Co.* (2008) 166 Cal.App.4th 761, 767, which addresses the certainty requirement of Civil Code section 3287(a). That case does not foreclose discretionary prejudgment interest under section 3288 in a tort action, and whether interest should ultimately be awarded is not a question resolved on the pleadings.

The motion to strike FAC Prayer ¶ 4 is DENIED.

Attorney's Fees

The FAC contains no request for attorney's fees. Defendants ask the Court to strike the prayers for costs of suit and for such other and further relief as is just and proper "to the extent Plaintiffs intend these lines to request attorney's fees." Costs of suit are recoverable by a prevailing party under Code of Civil Procedure section 1032(b), and a general prayer for further relief is proper. A motion to strike must be directed at identifiable improper matter appearing on the face of the pleading, not at a hypothetical construction of otherwise proper matter.

The motion to strike FAC Prayer ¶¶ 7 and 8 is DENIED.

Conclusion

The demurrer is OVERRULED in part and SUSTAINED with leave to amend in part. The Motion to Strike is DENIED in part and GRANTED with leave to amend in part.

The demurrer to the fourth, fifth, sixth, and seventh causes of action is OVERRULED. The demurrer to the ninth and tenth causes of action is SUSTAINED with leave to amend.

The Motion to Strike is DENIED as to Nicole Reber and GRANTED with leave to amend as to Douglas Elliman of California, Inc., and is DENIED in all other respects.

Plaintiffs shall file their Amended Complaint within 20 days.

Moving party to give notice.

Parties who intend to submit on this tentative must send an email to the Court at SMCDept224@lacourt.org indicating intention to submit on the tentative, and copying all parties in the email communication. Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a submission from all other parties in the matter, you should assume that others might appear at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and

there are no appearances at the hearing, the Court will adopt the tentative as the final order, or take the matter off calendar at its discretion.